

ChE 494 Entrepreneurship in Chemical Engineering

Fall 2019

Due Date: Tuesday October 17, 2019

Assignment#1

What Makes Entrepreneurs Entrepreneurial

Part 1: In your own words describe each of the following business concepts used in the article. You may need to do external research for some of these concepts.

Causal Reasoning: Set a goal, follow one, plan complete the goal at the lowest cost.

Effectual Reasoning: With a give starting point, set off on a journey to reach a goal that is found as you work through the issue

Target Market: A specific market a company is trying to send their product to.

Make vs. Buy: Are you going to internally create the product (make) or outsource the product from another company (buy). Decision usually made based off demand of product

Market Segmentation: Capability of company to produce said product. Splitting large market into smaller sub-set markets based off of similar traits

Product Positioning: Based off target market, creating an effective message that pinpoints the reason to buy your product.

Strategic Partners: Partnerships that form when two companies can help each other out, leading to a win win scenario for both companies

Ideal Customer: Everything that this customer needs, my product supplies.

Part 2: You have created the technology for the world's first flying car and you own the Intellectual Property so no one can steal your idea. However, you just graduated from college and don't have enough money to produce and sell the flying car on your own. Also, auto manufacturers won't buy your technology without you first demonstrating that people are willing to buy your flying car.

You are confident that you can sell your company for billions of dollars to a large auto manufacturer if you are able to initially sell 10,000 cars to willing customers over the next 5 years.

Using the "Process of Effectuation Used by Expert Entrepreneurs" shown in Figure 2, describe how you would arrive at identifying the initial target customer.

Definition of Several Possible Markets – What are possible markets for the flying car? How would you go about analyzing which markets might work?

Possible Markets

B → B Sell my idea to car companies for them to mass produce & sell to customers

(B → C) Sell my car to customers,
Customers who would purchase
- early adopters
- wealthy people

Based off of Electric cars & Hoverboard sales

Adding Strategic Partners – Who would make good strategic partners to help you achieve your goal? How would they benefit from partnering with you?

Tesla - Partnering w/ Tesla allows for them to produce the first every flying car. I get to have the resources to create my car under the Tesla name, safer too since we can implement Tesla's self driving into it.

Defining your Ideal Customer: What kind of customers would be interested in your flying car?

What would they use it for? Are they worried about safety? Can they afford it?

Wealthy people, but also people who hate the daily traffic.

Tesla's cheapest electric car is \$35,000 and is the model 3. Based off this I am speculating we would be able to create an affordable option for all. Since we are partnered w/ a reputable company, safety is no concern.

How do you reach your Ideal Customer: Do you know anyone like your ideal customer? If not, where would you meet them? How would you go about marketing to them, or selling to them?

People who hate traffic. Billboards on highways. Think about it you are sitting in your daily 2 hour commute out of Chicago, & you see an add of someone flying over the same traffic you are in... That's a beautiful selling point.